1.4.2 Statistics and Commerce

Statistical methods are widely used in business and trade solutions such as financial analysis, market research and manpower planning. Every business establishment irrespective of the type has to adopt statistical techniques for its growth. They estimate the trend of prices, buying and selling, importing and exporting of goods using statistical methods and past data. Ya-Lun-Chou says "It is not an exaggeration to say that today nearly every decision in business is made with the aid of statistical data and statistical methods."

Success Story

In 2004, a hurricane named *Sandy* hit the United States, tens of thousands of households were affected by it with bad weather and power failure. A Multi National Company, the largest retailer across the globe conducted a vast data analysis through its comprehensive database system and came out with surprising results. Emergency equipments and frozen bakery products were badly needed by the households during such disasters. This data analysis helped the MNC to predict the next hurricane named France in 2012. So it dispatched emergency equipments, flashlights and bakery products like strawberry pop tarts to all its retail outlets near the hurricane hit places. Those products were sold extremely well in large number by that particular MNC, whereas other retailers could not do. Such Big data analysis and prediction henceforth has helped many Multi National Companies to reduce their time, cost and labour.



1.4.3 Statistics and Economics

Statistical methods are very much useful to understand economic concepts, such as mandatory policy and public finance. In the modern world, economics is taught as an exact service which makes extensive use of statistics. Some of the important statistical techniques used in economic analysis are: Times series, Index Numbers, Estimation theory and Tests of significance, stochastic models. According to Engeberg "No Economist would attempt to arrive at a conclusion concerning the production or distribution of wealth without an exhaustive study of statistical data." In our country many state governments have a division called Department of Economics and Statistics for the analysis of Economic data of the state.

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